

ML Adoption Curve (Investing)

SLIBRARY 22 · SHEET 2 / 5

Muldowney's stages of ML in asset mgmt

PROFESSIONAL DEFINITION

The ML Adoption Curve for investment management describes the stages by which investment firms move from experimentation with machine learning to its full integration into the investment process.

WHO DEVELOPED IT

Associated with Peter Muldowney's analysis of machine-learning adoption in investment management.

WHY IT WAS DEVELOPED

It was developed to help investment firms locate their ML maturity and plan a realistic path to integration.

FIGURE 1 · ML ADOPTION CURVE (INVESTING)

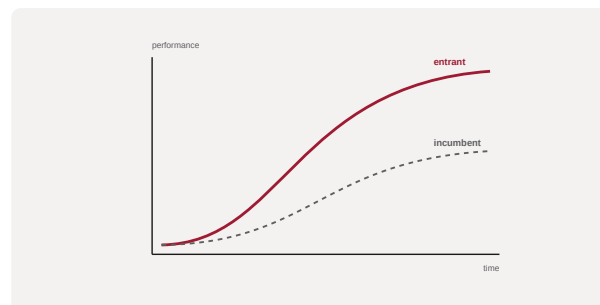


Figure 1. A schematic of the ML Adoption Curve (Investing) as applied in BARBM312 (illustrative).

HOW IT IS USED

The firm places itself on the curve and identifies the data, talent and governance needed to advance without over-reaching.

WHEN IT IS USED

When planning ML adoption in asset and investment management.

BY WHOM IT IS USED

CIOs, quantitative teams and investment-operations leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It frames ML adoption in investing as a staged journey, countering the assumption that capability can be acquired instantly.

RELATED FRAMEWORKS IN THIS COURSE

Fintech Disruption Map · Slibrary 22

Robo-Advisory Stack · Slibrary 22

Alt-Data Pyramid · Slibrary 22

Blockchain Instrument Map · Slibrary 22

SOURCES (HARVARD REFERENCING STYLE)

Muldowney, P. (2019) 'Machine learning in investment management', industry analysis.

López de Prado, M. (2019) 'Ten applications of financial machine learning', SSRN.